IN THE NATIONAL COMPANY LAW TRIBUNAL
ALLAHABAD BENCH, PRAYAGRAJ

CP (CAA) No.23/ALD/2021
Connected with
CA (CAA) No.21/ALD/2021

In the matter of
The Companies Act, 2013

And

In the matter of
Section 230(1) read with Section 232(1) and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

And

In the matter of

KONARK IRRIGATION PRIVATE LIMITED is a company incorporated under the provisions of the Companies Act, 2013 (CIN: U25203UP2015PTC070705) having its registered office at Aroth, Chhajmal ,Gabhana ,Aligarh, Uttar Pradesh-202001

… Petitioner Company No.1/ Transferor Company

With

KONARK POLYTUBES PRIVATE LIMITED is a company incorporated under the provisions of the Companies Act, 1956 (CIN: U25111UP1996PTC019348) having its registered office at Shyamanchal, Pushpanjali Colony Ramghat Road, Aligarh, Uttar Pradesh-202001

….. Petitioner Company No.2/Transferee Company

AND

THEIR RESPECTIVE CREDITORS AND SHAREHOLDERS

Order reserved on: 18.05.2022

Order pronounced on: 13.06.2022

Coram:

Shri Rajasekhar V. K.	:	Member (Judicial)
Shri Virendra Kumar Gupta	:	Member (Technical)

Appearances (via videoconferencing):

For the petitioner	:	Ms. Aishwarya Sharma, Advocate Mr. R.C. Sharma PCS Mr. Anuj Kumar Advocate

—Sd—

For the Regional Director (NR), MCA : Mr Kuldip Singh, Asstt OL

For the Official Liquidator : Mr Kuldip Singh, Asstt OL

ORDER

Rajasekhar V. K., Member (Judicial)

1. The court convened through videoconferencing.

2. The present Joint Company Petition is filed by Petitioner Companies above-named under Sections 230 and 232 and other applicable provisions of the Companies Act, 2013 read with the Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 for sanction of Scheme of Amalgamation of Konark Irrigation Private Limited ***(Petitioner Company No.1)*** with Konark Polytubes Private Limited (***Petitioner Transferee Company)*** and their respective Shareholders and Creditors ***(hereinafter referred to as "Scheme" or "Scheme of Amalgamation")***.

3. The Petition has now come up for final hearing. The Ld. Counsel for the Petitioner Companies submits as follows: -

   (i) The proposed Scheme of Amalgamation has already been approved by the Board of Directors and shareholders of the respective companies in their Board of Director's Meeting held on 30/06/2021.

   (ii) The rationale of the proposed Scheme of Amalgamation is elaborately described in the present Company Petition which may be summarized as under:

      a. The proposed Scheme of Amalgamation will result in leveraging the human and physical resources of all the Companies which will enhance their profitability and long term viability.

      b. The Scheme of amalgamation will result in usual economics of a centralised and larger company including reduction of overheads, better and more productive utilisation of various resources and reduction in procedural & administrative works/costs.

—Sd—

c. The said scheme of amalgamation has been proposed, inter alia, to consolidate the group structure and provide for overall business efficiency, to combine their managerial and marketing strength, to stream line administration, to build a wider capital and financial base and to promote and secure overall interest and growth and economics of the Companies Concerned.

d. The said Scheme of Amalgamation will contribute in furthering and fulfilling the objects of the Companies Concerned and in facilitating further expansion, growth and development of their Business.

e. The said Scheme of Amalgamation will strengthen, consolidate and stabilize the business of the said Companies and the resulting amalgamated company would be able to participate more vigorously and profitably in the competitive market scenario.

f. The Amalgamation would enable pooling of managerial, financial and human resources of the concerned companies for the most beneficial utilization of these factors in the amalgamated company and lead to the emergence of' a single large company with a strong financial base which will be able withstand and achieve economies of scale.

g. The said Scheme of merger will have beneficial results for the companies concerned, their shareholders, employee and all concerned.

4. The Petitioners have stated that the accounting treatment proposed in the Scheme of Amalgamation is in conformity with the Accounting Standards prescribed under section 133 of the Companies Act, 2013 as certified by the Auditors of the Petitioner Companies.

5. It has also been stated in the Petition that no proceedings under Sections 235 to 251 of the Companies Act, 1956 or under sections 210 to 226 of the Companies Act, 2013 are pending against any of the Petitioner Companies.

6. It has also been stated that the Scheme is not prejudicial to the interest of the Shareholders and Creditors of the Petitioner Companies and the Petition is made *bona fide* and is in the interest of all the Petitioner Companies and their respective Shareholders and Creditors as a whole and is just and equitable.

—Sd—

7. As per the Proposed Company Scheme annexed with the Present Petition the Appointed Date of the scheme is 30.06.2021.

8. It is submitted that the proposed Scheme of Amalgamation is not intended to in any manner, to have any beneficial effect on the managerial interest, if any, of the Directors of the Petitioner Company, except to the extent of their shareholdings. That the Proposed Scheme will not adversely affect the rights or interest of any creditor and stake holders of the Petitioner Companies or their respective shareholders, in any manner whatsoever.

9. It has been stated that the Proposed Scheme of Amalgamation does not involve in any compromise with the creditors and stake holders of the Petitioner Company in any manner whatsoever. As such, the Scheme of Amalgamation does not in any manner adversely affect the interests of any creditor and stake holder of the Petitioner Companies. Further due provisions are made in the Proposed Company Scheme for payment of all their liabilities as and when the same will fall due in the usual course.

10. This Tribunal *vide* its Order dated 05 October, 2021, dispensed with the requirement of convening meetings of transferor and the transferee companies its shareholders, secured and unsecured creditors considering the Scheme of Amalgamation.

11. The Petitioner Companies filed the Second Motion Petition being CP (CAA) No.23/ALD/2021. This Tribunal directed the Petitioner Companies to serve notices of the Petition upon the Regional Director (Northern Region), Registrar of Companies, Uttar Pradesh, Kanpur, Official Liquidator, Allahabad, Income-Tax Authority and other sectoral and regulatory authorities for filing their representation and also directed to effect paper publication in “Business Standard” (English, New Delhi Edition) and “Business Standard” (Hindi, New Delhi Edition).

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12. In compliance thereof, the Petitioner Companies filed Affidavits of service and publication, confirming that notices have been duly published in "Business Standard" (English, New Delhi Edition) and "Business Standard" (Hindi, New Delhi Edition). The Petitioner Companies have duly served notices to (a) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi; (b) the Registrar of Companies, Uttar Pradesh, Kanpur; (c) the Official Liquidator, Allahabad; (d) the Income-Tax Department having jurisdiction over the Petitioner Companies

13. In response to the above stated notice the Regional Director the Regional Director, Northern Region, Ministry of Corporate Affairs, New Delhi has filed his reply affidavit in which the observation has been made that that main object present in the Memorandum of Association of transferor company pertaining to merged undertaking shall assimilate into the main object of transferee company and shall be deemed to be part thereof without passing any further resolution or convening any further meeting of shareholders etc.

14. The Petitioner Companies in their Reply Affidavit stated that the both the transferor and transferee companies have similar main objects as per their Memorandum of Association, therefore there will be no need to change the object clause under section 13 of the Companies Act, 2013 and the business activities of transferor company shall have no interruption after sanctioning of scheme of amalgamation.

15. In response to the above-mentioned notices issued. The Registrar of Companies, Kanpur filed its report, before this Tribunal reporting such that there is no prosecution, filed against Transferor Company and Transferee Company nor any proceeding under section 210 to 228 of the Companies Act, 2013 is pending against the Companies nor any violation is reported against it under section 203/134 of the Companies Act, 2013.

16. In response to the above stated notice, the Official Liquidator, Ministry of Corporate Affairs, Allahabad, Uttar Pradesh has also submitted its report

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wherein it has stated that the Official Liquidator has no objection to the dissolution of the Petitioner Transferor Companies without winding up pursuant to provisions of Sections 230 and 232 of the Companies Act, 2013 and other applicable sections and rules thereunder.

17. The Income-Tax Department has not filed any representation within 30 days of service of the notice of the Petition. Hence, pursuant to section 230(5) of the Companies Act, 2013 read with rule 8(3) of the Companies, it is presumed that the Income-Tax Department has no objection on the Scheme of Amalgamation filed by the Petitioner Companies.

18. We have gone through the reports of the Ld. Regional Director (Northern Region), Ministry of Corporate Affairs, New Delhi, Ld. Registrar of Companies, Uttar Pradesh, Kanpur and Ld. Official Liquidator, Ministry of Corporate Affairs, Allahabad and the Reply Affidavit filed by the Petitioner Companies and after perusing the same, we find that there appears to be no reservation to grant sanction to the Scheme and we are of the view that the sanction of the present Scheme is not against public policy, nor it would be prejudicial to the public interest at large.

19. In addition to above, all the statutory compliance seems to have been complied with by the Petitioner Companies. There is no impediment to sanction of the scheme.

20. In the result, the proposed Scheme of Amalgamation, which is annexed to the Company Petition stands approved and sanctioned. The Petitioner Companies are required to act upon as per terms and conditions of the sanctioned Scheme and the same shall be binding on all the Shareholders, Secured Creditors and Unsecured Creditors of the above named Petitioner Companies and also on the Petitioner Companies with effect from the Appointed Date.

21. While approving the Scheme as above, it is clarified that this order should not be construed as, in any way, granting exemption from payment of stamp duty

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(if any, is applicable), taxes (including Income Tax, GST or any other charges, if any, are applicable) and payment in accordance with law or in respect to any permission / compliance with any other requirement which may be specifically required under any law. Also, the Petitioner Transferor Companies No.1 to 4 shall stand dissolved without undergoing the process of winding up.

22. The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order to be delivered to the Registrar of Companies, Kanpur for registration.

23. All the concerned Regulatory Authorities to act on a copy of this order annexed with the Scheme duly authenticated by the Registrar of this Bench.

24. Leave is granted to the Petitioners to file the Schedule of Assets and Liabilities within a period of sixty days.

25. Any person interested shall be at liberty to apply before this Tribunal in the above matter for such directions as may be necessary.

26. Accordingly, the present Company Petition bearing CP (CAA) No.23/ALD/2021 is allowed and stands disposed of.

27. Urgent certified copies of this order, if applied for, be supplied subject to usual formalities.

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Rajasekhar V K

Digitally signed by Rajasekhar V K
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Virendra Kumar Gupta
Member (Technical)

Rajasekhar V.K.
Member (Judicial)

Swati Gupta (LRA)